



AI Contract Review Guidance Note

AI is rapidly becoming ubiquitous, dominating the headlines, and exponentially impacting technology, business, public policy and law. Evidently, use of AI will increase significantly over the next few years. AI Systems therefore become the subject matter of transactional contracts. AI technologies create new and unique risks which will need to be reflected in those contracts.

This note is created to provide guidance to those involved in the drafting and negotiating customer contracts where Wipro will either be utilizing AI based technologies in relation to our service delivery, or else developing/training an AI solution for the Customer. Please note that the clauses contained in this document do not comprise a complete precedent contract. These are for illustrative purposes only and are not tailored to any specific AI use case, nor the specific drafting that may be included in a particular contract. The clauses are intended to provide guidance on the types of issues that may be helpful to address in AI contracts. It is recommended you refer to the CNS document for necessary guidance on other contractual clauses. These clauses will have to be read with standard contractual clauses covered in the CNS document.

This note consists of –

- a) **Due Diligence Checklist** - This will provide preliminary information and background to assess legal risk involved.
- b) **List of Sample Clauses**- These are split between the circumstances where Wipro is simply utilizing AI solutions as part of our service delivery model, and those projects where the development or training of an AI model is at the core of the project services. It is recommended that you identify the applicable clauses, check another relevant document signed with the Customer and include the relevant clauses in the applicable MSA/ SOW/ other relevant documents.
- c) **Additional Scenarios and Deviation Approval Matrix** - This table captures two additional scenarios, provides guidance on clause/s to be considered and identifies approving authority for deviations.
- d) **Additional Information** – For reference only

Note: The updated version of this Guidance Note and related approval matrix and all other documents referenced herein will be maintained on the Legal Portal.

Ver.5

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For internal circulation only



a. Due Diligence checklist

This is designed to gather preliminary information to assist in assessing legal risks involved in project/s where Wipro will be utilizing AI solutions to underpin our service delivery to the relevant Customer, or providing/ developing AI solution for Customer.

Note- SOW team to ensure the solutions team provides response to each question. For any clarifications, reach out to the concerned SMU lawyer/ AI Taskforce.

Sr. No	Question	Response
1.	Is this a POC or regular SOW?	
2	Is it a traditional AI or GenAI project?	
3	Are there any third-party AI licenses or authorizations procured by Wipro for this project?	
4	Where a third-party AI solution or tool is involved, will the Customer be expected to procure any AI licenses or authorization to develop the AI tool or work on the solution?	
5	Describe how and for what purposes the AI solution is used, whether (i) internally or (ii) to generate outputs which are provided to or used by Customer or other recipients.	
6	Is Wipro providing any commitment about the AI solution output/ performance?	
7	Is it envisaged that Wipro will continue to own any of the IP developed as a result of the Customer engagement, e.g. in relation to (a) amendments to the code of the AI solution/tool (b) data schema to reflect the trained model (c) any other outputs from the services.	
8	Are we using any Wipro owned tool/ solution?	
9	Will the data/information (content) to be used to train AI technology (i.e., training data) be provided by (a) Wipro (b) the Customer or (c) some other	



	third party? Have we been able to confirm that there are appropriate rights to provide all such information and to use it as part of the training process?	
10	Will the project or AI solution involve collecting and/or processing personal information?	
11	Who are the end users of the AI solution – Wipro or Customer, or other third parties?	
12	If Customer is the end user – how many employees of Customer can access the AI solution, and will any additional terms be required to be agreed with them (e.g. any End User License Agreement)?	



b. List of Sample Clauses

Scenario 1 – Wipro is utilizing AI solutions (but not developing/creating them) in the course of the delivery of services to the Customer.

1.	Warranty Disclaimer regarding use of AI solutions mandated/selected by Customer	
	Comment	Clause
	Given the risk profile associated with AI solutions, Wipro should avoid taking on any responsibility vis a vis the operation or results to be achieved by utilizing an AI solution selected by the Customer.	Where Customer has selected or mandated the use of any software in relation to the provision of the Services (including but not limited to AI based or related applications or solutions), Wipro shall have no responsibility for the suitability of such Software for the Customer's requirements or the outcomes to be achieved from the use of such Software. Wipro disclaims any express or implied warranties in respect of AI solution's performance, including any terms, warranties, or conditions as to the satisfactory quality or fitness for the purpose of the AI solution.
2.	Warranty Disclaimer regarding use of third-party AI solutions selected by Wipro	
	Comment	Clause
	Where Wipro has itself selected the AI solution, it will likely be the case that Wipro will have to accept some degree of responsibility for the appropriateness of the selection, but ideally this should not amount to having to underwrite the operation of the functionality of the AI solution nor the results of its use.	Where Wipro makes use of any third party AI based solution ("Third Party AI Solution") to support the delivery of the Services, it warrants that it has exercised reasonable skill and care in relation to the selection of such Third Party AI Solution, but does not warrant that such Third Party AI will achieve any specified outcomes or results, or that the Third Party AI Solution will operate free of errors or interruptions.
3.	Application of Wipro or third-party license terms	
	Comment	Clause
	Where a third-party licensor requires the Customer to enter into a separate license agreement, or where Wipro would ordinarily require separate license terms to be applied for its own AI	Where in order to receive the Services the Customer needs to have access to Software/AI solution which are subject to separate license terms, Wipro will provide the Customer with prior written notice of such license terms unless such terms are already appended to the applicable SOW. The provision of



solutions, then the requirement for the Customer to execute the relevant license terms needs to be clearly stated. In case of Wipro tool/platform is being used (Accelerator and/or ai360), ensure Delivery team has reviewed Clearance Report for LLM models under 'Generative AI IP' Category.	access to such Software/AI solution will be contingent upon the Customer executing the applicable license terms. <i>If a Wipro Owned AI tool is used as an accelerator, then refer to the clauses in the IP Guidance Note. If Lab45's AI360 platform is provided as SAAS then the EULA specific to AI360 is required to be shared with the customer. Please loop in IP transaction lawyer for review and confirmation.</i>
4. IPR Disclaimer regarding third party AI solution (i.e. not a proprietary Wipro AI solution)	
Comment	Clause
Wipro should ideally not have to stand behind the IP set up for a third-party solution (nor be responsible for any potential infringements that a generative AI tool might commit).	Wipro provides no warranty or assurance as to the ownership of any Intellectual Property Rights in the third-party AI or any outputs as may be created by such third-party AI.
5. IP Ownership	
Comment	Clause
We can differentiate here between (a) the data used to train a solution (b) the model which represents the "trained" tool, and (c) the code of the AI solution itself.	Training Data provided by the Customer will be owned by the Customer, whilst Wipro will own any Training Data that it provides. The Model Data shall be owned by Wipro: Wipro (or its third-party licensors) shall own all intellectual property rights in any modifications made to any AI solution utilized by Wipro in the course of the provision of the Services. For the purposes of the above: "Training Data" means the data sets utilized to train Model Data "Model Data" means a trained system of parameters or other function that has the same or similar effect as a parametric function that can be applied to an input to obtain a usable response and that has utilized Training Data to be able to undertake tasks, decisions, or other learned activities.



	Wipro and/or its licensors shall in any event retain all rights, title and interest (including all intellectual property rights) in relation to any AI solution or application utilized by it in the course of providing the Services (and in relation to any modifications made to them, regardless of who may have made them).
6.	Use of Know How
Comment	Clause
Even if the Customer pushes for ownership of newly created IP, Wipro will need to preserve a right of use of know how so as to maintain the ability to undertake similar work for future customers.	Wipro may use for any purpose any information which may be retained in the unaided memories of personnel performing the Services such as ideas, concepts, know-how, experience and techniques which do not contain any Customer Confidential Information. An employee's memory is unaided if the employee has not intentionally memorized the information for the purpose of retaining and subsequently using or disclosing it.
7.	IPR Indemnity
Comment	Clause
Wipro will likely need to give an IP indemnity vis a vis its non-AI related deliverables and services, but may wish to exclude IP indemnities regarding AI solutions and in particular in relation to the use of generative AI.	Notwithstanding the other provisions of this clause [X], Wipro specifically disclaims any indemnity or liability as may arise out of the infringement of any third-party intellectual property rights related to the outputs of the AI Solution, and/or as may have resulted from the Training Data or other information or materials provided by or on behalf of the Customer for use in connection with such AI Solution.
8.	Use of Personal Data
Comment	Clause
Where data to be subjected to the AI solution is personal data, the Customer must have ensured that it has a valid legal basis for collection as well as for sharing the data with Wipro.	If and to the extent that the Customer provides Wipro with any personal data for use in connection with the Services and in particular in relation to any AI application, the Customer shall ensure that data has been collected and processed diligently and in accordance to the applicable privacy and data protection legislation to enable such data to be transferred to and processed by Wipro.

If the project or AI solution involve collecting and/or processing personal information, the following must be observed:

- Endorse the contract/SOW to Global Data Privacy team for review.
- The solutions/project team to complete the “Addendum – Gen AI Data Processing” and include as Annex to contract/SOW.



Addendum.docx

9. Provision of Data

Comment	Clause
If the Customer is providing data for Wipro to utilize in conjunction with the relevant AI application, it should ensure that the data is appropriate for the uses which are to be made of it (and should then be responsible for any inherent bias or discrimination as may result from such data)	In relation to any data provided by the Customer to Wipro in connection with the Services (including but not limited to Training Data), the Customer shall ensure that such data (a) is accurate and complete in all material respects; (b) where applicable, is suitable for use as Training Data for any related AI application (including by way of being of being curated to avoid unintentional or discriminatory effect).

10. Compliance with Laws/Permissions

Comment	Clause
The Customer should ideally take responsibility for the use that it makes of the AI elements of the Services and any resulting outputs.	In receiving and making use of any outputs of the Services (including but not limited to in relation to any outputs from any AI solution or application utilized in the course of providing the Services), the Customer shall ensure that it complies with all applicable laws and regulations.

11. Customer Cooperation



Comment	Clause
Wipro will want the Customer to be proactively obliged to assist with any activities necessary to address any perceived issues with the way in which any AI solution has been configured or is operating (e.g. so as to address any unintended bias etc.).	The Customer shall provide Wipro with all such assistance that Wipro may reasonably require in relation to the provision of the Services and in particular in relation to the operation of any AI solution or application which has been applied in connection with the Services.
12. Termination	
Comment	Clause
Although Wipro's contractual termination rights will often be more limited than those granted to the Customer, the contract should set out what will happen vis a vis the Customer's rights to use any AI solution provided as part of the Services and any related data, post termination. Note: This will not be applicable if AI solution is implemented on Customer provided LLM or where Wipro has provided AI solution as part of the POC.	Upon termination or expiry of the Agreement for any reason, all rights granted to the Customer under this Agreement shall terminate, and the Customer shall: a) Immediately cease using the AI Solution. b) Return to Wipro or, at Wipro's request, irrevocably delete and destroy any copies of or object code related to the AI Solution, including any and all Wipro training data or adapted software in the Customer's possession or control, and certify in writing to Wipro that this has been done.


Scenario 2 – The nature of Wipro’s engagement with the Customer is to develop / train a new AI solution.

1. Application of Wipro or third-party license terms	
Comment	Clause
Where a third-party licensor requires the Customer to enter into a separate license agreement, or where Wipro would ordinarily require separate license terms to be applied for its own AI solutions, then the requirement for the Customer to execute the relevant license terms needs to be clearly stated.	Where the Services will involve the Customer in having access to Software/ AI solution, which is subject to separate license terms, Wipro will provide the Customer with prior written notice of such license terms. The provision of access to such Software/AI solution will be contingent upon the Customer having first executed the applicable license terms.
In case of Wipro tool/platform is being used (Accelerator and/or ai360), ensure Delivery team has reviewed Clearance Report for LLM models under ‘Generative AI IP’ Category.	Where in order to receive the Services the Customer needs to have access to Software/AI solution which are subject to separate license terms, Wipro will provide the Customer with prior written notice of such license terms unless such terms are already appended to the applicable SOW. The provision of access to such Software/AI solution will be contingent upon the Customer executing the applicable license terms. <i>If a Wipro Owned AI tool is used as an accelerator, then refer to the clauses in the IP Guidance Note. If Lab45’s AI360 platform is provided as SAAS then the EULA specific to AI360 is required to be shared with the customer. Please loop in IP transaction lawyer for review and confirmation.</i>
2. IPR Disclaimer regarding third party AI solution (i.e. not a proprietary Wipro AI solution) being used a basis for further development	
Comment	Clause
Wipro should ideally not have to stand behind the IP set up for a third-party solution (nor be responsible for any potential infringements that a generative AI tool might commit). However, where Wipro is also then responsible for further development of the solution, it is likely that Wipro will need to take some degree of responsibility for any changes which Wipro may then make).	Wipro provides no warranty or assurance as to the ownership of any Intellectual Property Rights in the Third-Party AI or any outputs as may be created by such Third Party AI. [DN – can then separately x-reference to separate clause dealing with IP ownership regarding any newly created materials, including modifications to the Third-Party AI]



3. IPR Ownership			
Comment		Clause	
This will need to differentiate between the cases where the Customer is to own the newly developed AI Solution (as may typically be the case), and where Wipro is to do so.		Option 1 – Wipro to retain IP ownership. Wipro shall retain all rights, title and interest (including relevant intellectual property rights) in the AI Solution and all modifications made to it. In consideration of payment of the Charges, the Customer shall be granted a non-exclusive license to utilize the AI Solution. Option 2 – Customer owns IP, but Wipro granted a license back. Subject to payment of the Charges, the Customer shall own all rights, title and interest (including relevant intellectual property rights) in the AI Solution and all modifications made to it. The Customer in turn grants Wipro a royalty free, worldwide and non-exclusive license to utilize the AI Solution for its future business operations (including the right to sublicense to third parties). Option 3 – Customer owns IP, no license back to Wipro (see “Use of Know How” instead, below). Subject to payment of the Charges, the Customer shall own all rights, title and interest (including relevant intellectual property rights) in the AI Solution and all modifications made to it. Wipro may access and utilize the AI Solution for the purposes of providing its services to the Customer.	
4. Use of Know How			
Comment		Clause	



Even if the Customer pushes for ownership of newly created IP, Wipro will need to preserve a right of use of know how so as to maintain the ability to undertake similar work for future customers.	Wipro may use for any purpose any information which may be retained in the unaided memories of personnel performing the Services such as ideas, concepts, know-how, experience and techniques which do not contain any Customer Confidential Information. An employee's memory is unaided if the employee has not intentionally memorized the information for the purpose of retaining and subsequently using or disclosing it.
5. Use of Personal Data	
Comment	Clause
Where data to be subjected to the AI solution is personal data, the Customer must have ensured that it has all consents necessary to provide such data to Wipro for processing. If the project or AI solution involve collecting and/or processing personal information, the following must be observed: • Endorse the contract/SOW to Global Data Privacy team for review. • The solutions/project team to complete the “Addendum – Gen AI Data Processing” and include as Annex to contract/SOW. • Please note that the legal basis for processing data are different across the AI lifecycle (training, testing and roll out) Addendum.docx	If and to the extent that the Customer provides Wipro with any personal data for use in connection with the Services and in particular in relation to any AI application, the Customer shall ensure that the data has been collected and processed diligently and in accordance with the applicable privacy and data protection legislation to enable such data to be transferred to and processed by Wipro.
6. Provision of Data	
Comment	Clause
If the Customer is providing data for Wipro to utilize in conjunction with the relevant AI application (and in particular	In relation to any data provided by the Customer to Wipro in connection with the Services (including but not limited to Training Data), the Customer shall



in relation to its initial training/configuration), it should ensure that the data is appropriate for the uses which are to be made of it (and should then be responsible for any inherent bias or discrimination as may result from such data).	ensure that such data (a) is accurate and complete in all material respects; (b) where applicable, is suitable for use as Training Data for any related AI application (including by way of being curated to avoid unintentional or discriminatory effect).
7. Compliance with Laws/ Permissions	
Comment	Clause
The Customer should ideally take responsibility for the use that it makes of the AI elements of the Services and any resulting outputs. However, where Wipro is the developer of the relevant solution, we can anticipate that the Customer will also demand certain commitments from Wipro in this regard.	In receiving and making use of any outputs of the Services (including but not limited to in relation to any outputs from any AI solution or application utilized in the course of providing the Services), the Customer shall ensure that it complies with all applicable laws and regulations. In developing and/or modifying the AI Solution, Wipro shall ensure that it also complies with all applicable laws and regulations related to its role as a developer of such AI Solution (provided that it is not placed in breach of such laws or regulations by reason of any instruction, data, information or other inputs provided by or on behalf of the Customer).
8. Customer Cooperation	
Comment	Clause
Wipro will want the Customer to be proactively obliged to assist with any activities necessary to address any perceived issues with the way in which any AI solution has been configured or is operating (eg so as to address any unintended bias etc.).	The Customer shall provide Wipro with all such assistance that Wipro may reasonably require in relation to the provision of the Services and in particular in relation to the operation of any AI solution or application which has been applied in connection with the Services.
9. IPR Indemnity	
Comment	Clause
Wipro will likely need to give an IP indemnity vis a vis its own deliverables and services, but may wish to exclude IP	Notwithstanding the other provisions of this clause [X], Wipro specifically disclaims any indemnity or liability as may arise out of the infringement of any



indemnities regarding third party AI solutions which are used as the basis for any development work, and in particular in relation to the use of generative AI.	third party intellectual property rights related to the core operation of the AI Solution (and which have not then been caused by any modifications made to such AI Solution by Wipro), and/or as may have resulted from the Training Data or other information or materials provided by or on behalf of the Customer for use in connection with such AI Solution.
10. Responsibility for Training and Testing	
Comment	Clause
Wipro will most often have responsibility for training the relevant AI Solution (although this can sometimes be a joint endeavor, e.g. if the parties are working on an Agile basis). In any event Wipro will want to be clear on the extent of the Customer's testing obligations.	Wipro shall use its reasonable endeavors to undertake training of the AI Solution utilizing the Training Data and with a view to meeting the agreed Specification. Upon completion of the development and training of the AI Solution, the Customer shall undertake a programme of testing agreed with Wipro to confirm that the AI Solution operates in material compliance with the Specification. The Customer shall in particular test the AI Solution to ensure that it operates without unintended bias or discrimination and that it operates in compliance with applicable laws and regulations. Upon successful completion of the agreed tests, the Customer will confirm in writing that the tests have been passed (such confirmation not to be unreasonably withheld or delayed) and that there is a continuous monitoring process with human oversight to avoid model drifting, security breach and bias.
11. Bias and Errors	
Comment	Clause



As per the other example clauses, the Customer should have responsibility for bias or errors arising by virtue of the core data that it provides. However, it remains possible that other errors or unintended bias may sneak in and will need to be addressed.	If the Customer detects any errors or bias in the operation of the AI Solution, it shall promptly notify Wipro, providing Wipro with reasonable detail of the perceived issues. The parties will then promptly meet in order to agree a plan to mitigate and rectify the issues and prevent their re-occurrence. Once agreed, Wipro shall implement the plan in accordance with its terms. Where Wipro can reasonably demonstrate that the issues did not arise by reason of any act or omission on the part of Wipro or by reason of any data provided by Wipro, it shall be entitled to recover its reasonable costs associated with the implementation of such plan.
12. Traceability and Explainability	
Comment	Clause
These are core requirements of the emerging AI laws and regulations and will almost inevitably be focused upon by the Customer (such that it makes sense for Wipro to have its own language ready to propose).	Wipro will, upon reasonable request from the Customer and at the Customer's cost, provide sufficient data regarding the training and configuration of the AI Solution to enable the decision making process of the AI Solution to be understood by appropriately qualified personnel, and so as to be able to establish why the AI Solution would arrive at any given output (including the key factors and parameters which would be applied to generate such outputs).

C. Additional Scenarios for reference and Deviation Approval Matrix



I. POC (Proof of Concept)	
Comment	Clause
Project to validate the performance/feasibility or confirm the potential of an AI solution / use case in a non-production environment setting. This will be deployed in Customer test environment, with either AI solution selected by Wipro, or customer provided licenses and data	Any outputs of [the Pilot Solution] are based on the data it has been trained on, which may include biased or incomplete information. Wipro does not accept any liability for such information or the results to be achieved from the Pilot Solution based upon such information. Customer must independently verify and cross-reference the information and the outputs provided by [Pilot Solution] with other reliable sources before making any decisions or taking any actions based on such outputs. Wipro assumes no responsibility for any consequences arising from the use of such outputs or the operation of the Pilot Solution in a live or production environment.
II. MSA	
Comment	Clause
MSA (when negotiating a new MSA, there is a visibility of AI/GenAI solution in scope, consider including these clauses from the sample Clauses list in the MSA).	• IP Ownership • Application of third-party license terms. • IP Infringement indemnity exception • User of Personal Data • Disclaimer of implied AI warranties • Provision of data • Compliance with Laws • Termination • Responsibility for Training and Testing • Traceability and Explainability • Bias and Errors
MSA (if there is no visibility of AI SOW in scope or customer is not willing to include AI clauses in the MSA, you must include the following clause in the MSA.	<i>Wipro may, as part of the scope of Services, either utilize artificial intelligence/machine learning based solutions (“AI Solution”), or be engaged by the Customer to develop and/or configure/train an AI Solution as set-out in the relevant SOW. In that event, unless Parties agree in the relevant SOW any additional applicable provision/s for the use and/or development of the AI Solution, such AI Solution and the outcome thereof shall be deemed to be</i>



		<i>provided on an as-is basis and the Wipro shall assume no responsibility for any consequences arising from the use or operation of the AI Solution or any output of such AI Solution.</i> Alternative 1: <i>Wipro may, as part of any scope of Services agreed between the parties, either utilize artificial intelligence/machine learning based solution ("AI Solution"), or be engaged by the Customer to help develop or configure/train such AI Solution. In that event, the parties will discuss and agree in the relevant Statement of Work the provisions as may be appropriate for the use and/or development of the AI Solution in question, and those provisions shall take precedence over the conflicting terms of this Agreement.</i>
III.	Open Source	
Comment		Clause
It is important to clearly outline the terms of open source use to prevent disputes or misunderstandings. If this is covered in the MSA, it need not be covered in SOW again.		<i>In the event Wipro is engaged by the Customer to use software which falls with the "Open Source Definition" as promulgated by the Open Source Initiative ("Open Source Software") in the Deliverables, Wipro shall use such Open Source Software as an agent of the Customer, and any open source licensing shall be between Customer and the open source licensor. The Customer shall be solely responsible for compliance of all terms and conditions of the applicable Open Source License. Customer agrees that notwithstanding anything contained in this Agreement, Wipro does not provide any warranty or representations on the Open Source Software used in the Deliverables. Customer shall indemnify, defend, and hold harmless Wipro from and against any damages, costs, liabilities, or expenses incurred in connection with any claim brought by a third party against Wipro, to the extent such claim arises out of Wipro's use of Open Source Software approved by the Customer or any non-compliance with the Open Source license obligations by the Customer. Wipro shall likewise indemnify, defend, and hold harmless Customer from and against any damages, costs, liabilities, or expenses incurred in connection with any claim brought by a third party against Customer to the extent such claim</i>



	<i>arises out of Wipro's non-compliant and unapproved use of Open Source Software.</i>
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Deviation Approval Matrix

<u>Sr. No</u>	<u>Background and Clause</u>	<u>Assessment + Recommendation</u>	<u>Approvers</u>
Scenario 1 – Wipro is utilizing AI solutions (but not developing/creating them) in the course of the delivery of services to the Customer			
	Absence of warranty disclaimer regarding use of AI solutions mandated/selected by Customer/ Wipro		



<u>2.</u>	Application of Wipro or third-party license terms (Customer refuses to agree to or sign 3 rd party / Wipro license terms)	AI Council SPOC + Delivery team	• Sector Head • Sector Delivery Head
<u>3.</u>	Absence of IPR Indemnity (as explained in the section 7 of the note for Scenario 1)		
Scenario 2 – The nature of Wipro’s engagement with the Customer is to develop / train a new AI solution			
<u>4.</u>	Application of Wipro or third-party license terms (Customer refuses to execute the relevant 3 rd party/ Wipro license terms)	AI Council SPOC + Delivery team	• Sector Head • Sector Delivery Head
<u>5.</u>	Absence of IPR disclaimer regarding third party AI solution (i.e. not a proprietary Wipro AI solution)		
For Proof of Concept (POC)			
6.	Absence of warranty disclaimer clause	AI Council SPOC + Delivery team	Sector Delivery Head
Personal Data			
7.	Data to be subjected to the AI solution is personal data	DP Assessment by DP team	Ivana Bartoletti

d. Additional Information

❖ **What is Artificial Intelligence solution (“AI Solution”)?**

Generic Definition – “Any system, software, or technology that demonstrates the ability to perceive its environment, process data or stimuli, reason, learn from and adapt to experiences, and make decisions or take actions that would otherwise require human intelligence, including (but not limited to) machine learning, algorithms, neural networks, speech and natural language processing, computer vision, robotics and autonomous systems. Such systems, software, or technology may operate autonomously or with varying degrees of human input and control.”

As per EU AI Act - ‘AI Solution’ means a machine-based solution designed to operate with varying levels of autonomy, that may exhibit adaptiveness after deployment and that, for explicit or implicit objectives, infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments. ¹

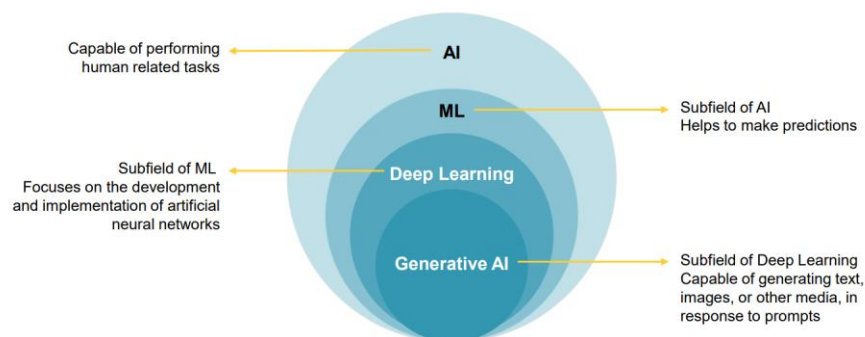


Fig. 1. Evolution of Generative AI

❖ **What is the relationship and differences among Artificial Intelligence (AI), Machine Learning (ML), Deep Learning, and Generative AI?**

The table below provides a high-level comparison:

	Artificial Intelligence (AI)	Machine Learning (ML)	Deep Learning (DL)	Generative AI
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General Characteristic	- AI is parent of ML and uses various techniques to simulate human intelligence. It is the overarching term that covers a wide variety of specific approaches and algorithms. - It enables machines or computer systems to analyze and interpret complex data, learn from experience, make informed decisions, or take action.	- ML is a subset of AI that focuses on the development of algorithms and models that enable machines to learn and make predictions based on data. - ML algorithms are typically trained on large datasets of labeled data. - ML helps us to train computer systems using large datasets, rather than being explicitly programmed with instructions.	- Deep learning is a subfield of ML. It focuses on the development and implementation of artificial neural networks inspired by the structure and function of the human brain. - DL algorithms are trained on massive datasets of unlabeled data. - DL algorithms are well-suited for tasks that require a high degree of pattern recognition, such as image classification and object detection.	- Generative AI is a type of artificial intelligence (AI) system capable of generating text, images, or other media in response to prompts. - Generative AI models learn the patterns and structure of their input training data, and it then generates new data that has similar characteristics. - While Deep Learning is a technique used within Generative AI, not all Generative AI models are based on Deep Learning.
Product Examples	Salesforce's Tableau, Microsoft's PowerBI, Honeywell's Forge		Google's voice recognition and image recognition, Netflix's video streaming recommendation	ChatGPT, Bard, Dall E-2, MS Co-pilot
Use cases examples	- Fraud Detection - Predictive programs (such as for forecasting prices in the stock market or where and when the next typhoon will hit)		- Self-driving cars - E-commerce personalization	- Creative Content Generation - Virtual Avatars



	- Email spam identifiers - Chatbots - Programs that design evidence-based treatment plans for medical patients.	- Speech recognition & Speech synthesis - Voice & Image Recognition	
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❖ What is defined as ‘Prohibited’ and ‘high risk’ AI Systems under the EU AI ACT ?

- According to the EU AI Act a **“prohibited”** development (which we could not then be involved with) would be any of the following:
 - AI systems deploying subliminal techniques that can distort a person’s behavior and impair informed decision-making, causing significant harm.
 - AI systems exploiting vulnerabilities related to age, disability, or socio-economic circumstances to distort behavior, causing significant harm.
 - Biometric categorization systems that infer sensitive attributes (race, political opinions, trade union membership, religious or philosophical beliefs, sex life, or sexual orientation), except for specific allowed cases.
 - Social scoring systems and manipulative AI that could lead to social discrimination.
 - Predictive policing based on profiling and systems that use biometric data to categorize people according to specific categories such as race, religion, or sexual orientation.
- The **“high risk”** applications of AI (which we could be involved with, but with more stringent safeguards and requirements) are the following:
 - Critical infrastructures: AI systems used in transport, energy, and other essential services that could endanger the life and health of citizens if they fail.
 - Education and vocational training: AI that may determine access to education and professional course of someone’s life, such as scoring of exams.
 - Employment, workers management, and access to self-employment: AI systems used for recruitment processes, evaluating worker performance, and making decisions on promotion or termination.
 - Essential private and public services: AI that allocates resources and benefits in social security, public health, and justice systems.
 - Law enforcement: AI systems that evaluate the reliability of evidence or predict the occurrence of criminal offenses.
 - Migration, asylum, and border control management: AI used for verifying the authenticity of travel documents and managing and controlling borders.



7. Administration of justice and democratic processes: AI applications that support judicial decisions in court cases or procedures.